

Robinhood Markets, Inc.
HOOD NASDAQ

Buy	\$122.11 ▼ 2.09%	12M Price Target \$140.00	52-Week Range \$63.52 – \$153.86	Market Cap \$109.79B
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HOOD: Prediction Markets War With States Heats Up

WHAT HAPPENED

- HOOD ripped ~17% last week and closed Friday at \$122 after a monster \$124.72 print on 51M shares Thursday — roughly 3x normal volume. That's institutional buying, not retail chatter. The catalyst: their layer-2 blockchain (built on Arbitrum) is now generating 240x the fees of Arbitrum itself, which basically validates the "Robinhood as a crypto infrastructure company" thesis, not just a broker.
- CEO Vlad Tenev went public accusing states of fighting prediction markets purely to protect their gambling tax revenue — that's a shot across the bow signaling HOOD is going to litigate this aggressively rather than back down.

WHY IT MATTERS

The story here has quietly shifted. HOOD isn't a meme-stock broker anymore — it's becoming a three-legged stool: retail brokerage, crypto infrastructure (their own chain earning real fees), and prediction markets (event contracts on elections, sports, etc.). The prediction market fight with states is the key inference: if HOOD wins the federal preemption argument (CFTC regulates them, not state gambling commissions), they just carved out a multi-billion dollar market that Kalshi and DraftKings will scramble to compete in. Cathie Wood adding \$3.5M and the unusual call buying at \$123 and \$128 strikes tells you smart money is positioning for more upside near-term, not taking profits.

POLICY & POLITICAL WATCH

The big one: prediction markets are in a regulatory gray zone right now, with the CFTC (federal) generally permissive and states (NJ, NY, MA, NV) trying to block them under gambling laws. The current administration's CFTC has been friendlier to event contracts than the prior one — if that stance holds, HOOD wins by default. Also watch the crypto market structure bill (CLARITY Act framework) working through Congress — passage would give HOOD's blockchain business regulatory certainty and likely trigger another leg up; failure or a hostile amendment would cap the crypto revenue thesis.

IS IT EXPENSIVE?

At \$122 and ~\$110B market cap, HOOD trades around 26x forward revenue and roughly 66x forward earnings — meaning you're paying \$66 for every \$1 of profit next year. That's not cheap by any traditional broker standard (Schwab trades around 18x earnings), but HOOD is growing revenue ~40%+ and Schwab is growing single digits. The multiple is justified ONLY if crypto and prediction markets keep compounding — if those stall, this stock has 30%+ downside to reprice as "just a broker."

WHAT COULD GO WRONG

Langston's | Equity Research Coverage

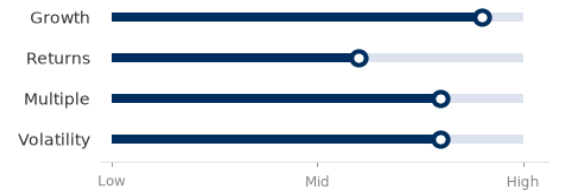
AI-Generated Pre-Market Brief | 2026-09-07 17:58 UTC

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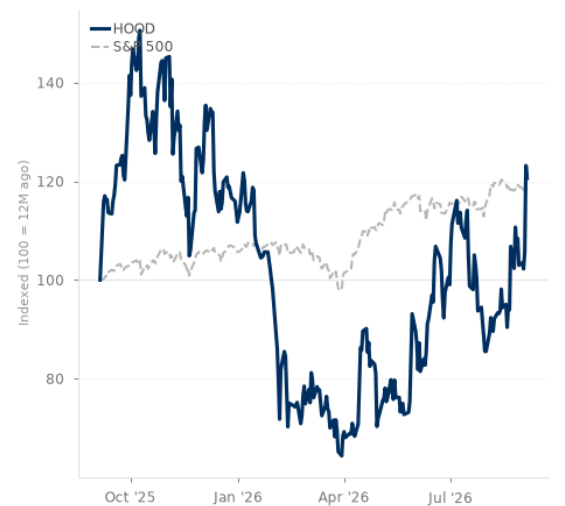
Key Data

Price (USD)	\$122.11
12M Price Target	\$140.00
Upside / (Downside)	+14.7%
Market Cap	\$109.79B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,400M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.55
Fwd P/E	66.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$140.00	\$125.00	\$105.00
6 Months	\$165.00	\$135.00	\$95.00
1 Year	\$190.00	\$140.00	\$85.00
2 Years	\$240.00	\$170.00	\$75.00
5 Years	\$350.00	\$220.00	\$60.00
10 Years	\$600.00	\$320.00	\$50.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+0.86% on the week) and crypto-adjacent names — the market is pricing in a friendlier regulatory backdrop for digital assets and fintech under the current administration.

COOLING OFF: Traditional Financials (flat on the week, -0.79% Friday) and Real Estate — rate uncertainty and slowing deal activity are the headwinds; big banks aren't participating in this fintech rally.

ROTATION WATCH: Money is quietly rotating OUT of legacy financials and INTO fintech/crypto rails. That's a direct tailwind for HOOD — they're on the winning side of that trade.

RELATED PLAY: If HOOD's blockchain thesis keeps working, Arbitrum (ARB) is the obvious second-order play (up 45% already on the fee-share news). Coinbase (COIN) also benefits from the same regulatory tailwinds without the prediction market legal risk.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Riding the same crypto regulatory clarity trade, benefits when HOOD's chain narrative validates crypto infrastructure economics.
- ARB (Arbitrum): Up 45% on being HOOD's underlying L2 — pure derivative play on Robinhood's blockchain success.

HOOD CONTEXT: HOOD is leading its peer group right now — up 17% on the week while COIN and traditional brokers are up mid-single digits. That leadership tells you HOOD-specific catalysts (prediction markets, own blockchain) are driving the move, not just sector beta. Leadership like this usually persists 2-4 weeks before consolidation.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — cautiously bullish; the business is firing on multiple cylinders but the stock has already ripped and near-term regulatory catalysts cut both ways.

POSITION SIZE: 2-4% of portfolio — real upside but the volatility is real too (52-week range is \$63 to \$154, that's a 2.4x spread).

ENTRY POINTS: Don't chase here at \$122 after a 17% week. Wait for a pullback to \$105-115 on any macro fear day or a negative prediction-market headline — those will come.

TIME HORIZON: 12-24 months, waiting for the crypto market structure bill and clarity on prediction market jurisdiction.

WHEN TO BAIL: If a federal court sides with states on prediction markets, or if quarterly crypto revenue drops >30% sequentially, cut it.

HEDGING: Pair with a small position in a boring broker like Schwab (SCHW) — if fintech disruption stalls, the legacy players catch a bid. Or just buy a cheap put 10-15% below your entry as insurance.